



February 16, 2023

Members of the Utah Senate
320 State Capitol
Salt Lake City, UT 84114

RE: Ad Trade Letter in Opposition to Utah HB 311

Dear Members of the Utah Senate:

On behalf of the advertising industry, we write to express our significant concerns with the proposed legislation under HB 311.¹ We and the companies we represent, many of whom do substantial business in Utah, strongly believe consumers deserve meaningful privacy protections supported by reasonable government policies. However, as presently drafted, HB 311's ambiguous provisions would place unclear mandates on companies of all sizes. Additionally, the bill's private right of action would threaten to expose companies to draconian penalties without providing proportionate benefits for consumers. **We therefore respectfully ask you to undertake a formal study of the bill and its impacts before advancing it through the legislative process.**

As the nation's leading advertising and marketing trade associations, we collectively represent thousands of companies across the country. These companies range from small businesses to household brands, advertising agencies, and technology providers. Our combined membership includes more than 2,500 companies that power the commercial Internet, which accounted for 12 percent of total U.S. gross domestic product ("GDP") in 2020.² Our group has more than a decade's worth of hands-on experience it can bring to bear on matters related to consumer privacy and controls.

As presently drafted, HB 311 would require any "person" to obtain parental consent before individuals under age 18 may contract with such persons through an interactive computer service.³ The bill appears to require all businesses, regardless of size – local bakeries, corner stores, and restaurants – that operate online to acquire parental consent in order to consummate a valid contract with a user under age 18. Such a requirement could undo countless online transactions, such as a 17-year-old ordering a pizza delivery through an app, or another teen's online order of flowers through a company's website for Valentine's Day. This broadly defined consent requirement could have the unintended result of removing teens from the economy and workforce. The bill is thus too broadly construed, and as a result, would place ambiguous and confusing requirements on companies of all sizes operating in Utah.

¹ Utah HB 311 (Gen. Sess. 2023), located [here](#).

² John Deighton and Leora Kornfeld, *The Economic Impact of the Market-Making Internet*, INTERACTIVE ADVERTISING BUREAU, 15 (Oct. 18, 2021), located at https://www.iab.com/wp-content/uploads/2021/10/IAB_Economic_Impact_of_the_Market-Making_Internet_Study_2021-10.pdf (hereinafter, "Deighton & Kornfeld 2021").

³ Utah HB 311, Sec. 102.

Furthermore, the bill's private right of action would not offer consumers adequate redress for violations of its terms or sufficiently deter undesired business conduct.⁴ Instead, the effect of a private right of action would be to enrich a select few opportunistic trial lawyers while providing Utah consumers little by way of protection.⁵ Such an enforcement scheme would also harm Utah's economy by discouraging innovation. It could dissuade entities from providing products and services to Utah residents for fear of exposure to significant and potentially enterprise-threatening costs for technical violations of law. The threat of an expensive lawsuit would disproportionately impact Utah's smaller business community by forcing such small companies to agree to settle claims to avoid expensive litigation, even if they are convinced the claims are without merit.⁶ Overall, a private right of action would serve as a boon to the plaintiff's bar without preventing practices that actually harm consumers, and small businesses would bear the lion share of the impact. Utah should not open the floodgates of potential litigation against the state's small businesses by including a private right of action in HB 311.

We would welcome a meeting with you to further explain our concerns with the proposed legislation. **We encourage you to defer the bill to a study so its impacts can be further understood and evaluated before it may become law in Utah.**

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⁴ *Id.* at HB 311, Sec. 201.

⁵ A select few attorneys benefit disproportionately from private right of action enforcement mechanisms in a way that dwarfs the benefits that accrue to the consumers who are the basis for the claims. For example, a study of 3,121 private actions under the Telephone Consumer Protection Act ("TCPA") showed that approximately 60 percent of TCPA lawsuits were brought by just forty-four law firms. Amounts paid out to consumers under such lawsuits proved to be insignificant, as only 4 to 8 percent of eligible claim members made themselves available for compensation from the settlement funds. U.S. Chamber Institute for Legal Reform, *TCPA Litigation Sprawl* at 2, 4, 11-15 (Aug. 2017), located [here](#).

⁶ For instance, in the early 2000s, private actions under California's Unfair Competition Law ("UCL") "launched an unending attack on businesses all over the state." American Tort Reform Foundation, *State Consumer Protection Laws Unhinged: It's Time to Restore Sanity to the Litigation* at 8 (2003), located [here](#). Consumers brought suits against homebuilders for abbreviating "APR" instead of spelling out "Annual Percentage Rate" in advertisements and sued travel agents for not posting their phone numbers on websites, in addition to initiating myriad other frivolous lawsuits. These lawsuits disproportionately impacted small businesses, ultimately resulting in citizens voting to pass Proposition 64 in 2004 to stem the abuse of the state's broad private right of action under the UCL. *Id.*



Thank you for your consideration of this letter.

Sincerely,

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